

SENATE BILL 2251

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 5; Title 6; Title 7; Title 8; Title 12; Title 13;
Title 29; Title 39; Title 45; Title 47 and Title 67,
relative to virtual currency kiosks.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 45, Chapter 16, is amended by adding the following as a new part:

45-16-201.

As used in this part:

(1) "Electronic terminal":

(A) Means an electronic device through which a person may initiate an electronic fund transfer to access the person's deposit, share, or other accounts or credit facility; and

(B) Includes an automated teller machine, cash dispensing machine, point of sale terminal, or other cash, debit, stored value, script, or cash equivalent device;

(2) "Person" means an individual or entity;

(3) "Virtual currency" means a digital representation of value used as a medium of exchange, a unit of account, or a store of value, but does not have legal tender status as recognized by the United States government;

(4) "Virtual currency kiosk" means an electronic terminal acting as a mechanical agent of the virtual currency kiosk operator to enable the virtual currency kiosk operator to facilitate the exchange of virtual currency for money, bank credit, or other virtual currency, including by:

(A) Connecting directly to a separate virtual currency exchange that performs the actual virtual currency transmission; or

(B) Drawing upon the virtual currency in the possession of the electronic terminal's operator; and

(5) "Virtual currency kiosk operator" means a person that:

(A) Engages in virtual currency business activity via an electronic terminal located in this state or a person that owns, operates, or manages an electronic terminal located in this state through which virtual currency business activity is offered;

(B) Knowingly permits the use or installation of a virtual currency kiosk on property owned, leased, or controlled by the person; or

(C) Owns a virtual kiosk that is located or operated in this state.

45-16-202.

(a) It is an offense for a virtual currency kiosk operator or other person to knowingly install or allow installation of, permit, place, or otherwise operate a virtual currency kiosk in this state.

(b) A violation of subsection (a) is a Class A misdemeanor.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it, and applies to acts occurring on or after that date.